

CAPITAL MARKETS

JLL's \$332M NEMA Chicago Refinancing Shows Life Insurance Capital Is Picking Its Spots

A \$332 million refinancing of Chicago's tallest rental tower reveals where long-duration debt is available and what it demands.

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A source-grounded Light Tower Insight.

A 76-story luxury rental tower in Chicago just secured \$332 million in total financing. That headline is less interesting than the question it answers: which assets can still command long-duration, fixed-rate debt in a market where most refinancing conversations end in extension requests or equity calls.

The answer, from this deal, is narrow. Trophy multifamily. A sponsor with a track record. A basis that survived the 2022-2025 repricing. And a lender class that never stopped underwriting real estate, but became far more selective about which assets get time.

JLL Capital Markets arranged a \$275 million senior loan and a \$57 million mezzanine tranche for NEMA Chicago, the city's tallest rental building. The borrower is Crescent Heights, the Miami-based developer and operator. The senior lender is New York Life Insurance Co. The mezzanine lender is PGIM's real estate business. The loan carries a five-year, fixed-rate structure.

The property sits at 1210 S. Indiana Ave. along Grant Park. It opened in 2019, designed by Rafael Vinoly with interiors by David Rockwell. It contains 800 units across two product tiers: 764 Signature Residences and 126 Skyline Collection units on the upper floors. Amenities include 70,000 square feet of indoor and outdoor pools, a basketball court, squash court, boxing ring, golf simulator, movie theater, and spa.

The capital stack tells a more revealing story than the amenity list. A life insurance company wrote the senior loan. A separate institutional asset manager wrote the mezzanine piece. Both are long-duration, relationship-oriented capital sources. Neither is a bank managing a shrinking real estate book. Neither is a CMBS conduit pricing for securitization. Both are underwriting for hold, not for sale.

That matters because the refinancing market in 2026 is not a single market. It is a series of discrete capital pools, each with different risk appetites, return requirements, and structural

preferences. Banks are still reducing CRE exposure. CMBS issuance is recovering but remains concentrated in single-asset, single-borrower deals for top-tier properties. The agencies are active but constrained by volume caps and affordability mandates.

Life insurance companies, by contrast, have been the steadiest source of large-balance, fixed-rate debt throughout the cycle. They never stopped lending. They just raised their underwriting standards. They want assets that can demonstrate rent growth, occupancy stability, and replacement-cost protection. They want sponsors who can write an equity check if the business plan hits a speed bump. They want loans that can survive a hold period without a forced sale.

NEMA Chicago checks those boxes. It is a 2019-vintage tower in a prime location with a deep amenity package that competes with newer supply. It is operated by a sponsor with a national multifamily platform. The loan is five years, which is short enough to avoid locking in a rate that looks expensive if the Fed cuts, but long enough to provide refinancing certainty through the next maturity wall.

The mezzanine piece is equally instructive. PGIM's willingness to write \$57 million of subordinate debt suggests that the senior loan did not cover the full refinancing need, or that Crescent Heights wanted to extract some equity without selling. Mezzanine debt in 2026 is not cheap. It typically prices at 11% to 14% all-in. But it is available for the right asset and sponsor, and it allows the borrower to avoid a JV equity partner or a distressed sale.

My read is that this deal is not a signal that multifamily refinancing is broadly accessible. It is a signal that the top decile of multifamily assets can still access the full capital stack. The buildings that lack location, vintage, scale, or sponsor depth are still waiting for bank balance sheets to reopen or for interest rates to fall enough to make their current cash flows cover a new loan.

The tension in this market is not between capital and no capital. It is between capital that demands perfection and capital that is not available at all. Life insurance lenders are the

former. They will write a \$275 million check for a building that meets their criteria. They will not write a \$15 million check for a 1980s garden apartment in a secondary market, even if the sponsor is credible. That gap is where most of the market lives.

What should a market participant test next? Owners of stabilized, institutional-quality multifamily should be calling life insurance lenders now, not waiting for rates to drop. The window is open, but it is not wide. Lenders are underwriting each deal on its own merits, and the deals that get done will set the comps for the next wave of refinancings. Sponsors who can demonstrate rent growth, occupancy, and a defensible basis should move before the calendar turns and the maturity wall gets taller.

For everyone else, the lesson is less comfortable. The capital that is available today is not solving the broader refinancing problem. It is solving it for a narrow set of assets that were always going to be fine. The rest of the market is still waiting for a different kind of capital to return.